

Expense Approval Policy

Policy ID EAP-FIN-007 | Version 3.2 | Effective January 1, 2025 | Policy owner: Chief Financial Officer (Daniel Okafor)

Approved by: Amelia Grant, Chief Executive Officer | Next review: January 1, 2026

1. Purpose and Scope

This policy sets out who may approve vendor invoices and business expenses at Meridian Tech Solutions Ltd, the thresholds that apply, and the controls that protect the company from unauthorised or duplicated spending. It applies to all employees, contractors and departments, and to every expense charged to a cost center, including purchases made on behalf of the company and invoices received from vendors.

Payroll (Salaries & Benefits) and non-cash items such as depreciation are outside the scope of this policy.

2. Approval Authority Matrix

Every invoice or expense must be approved before payment by the person whose authority covers the full invoice amount. The tier is determined by the amount of a single invoice.

Tier	Invoice amount (USD)	Required approver	Notes
Tier 1	Up to \$5,000	Department Manager	Manager of the department that owns the cost center.
Tier 2	\$5,000.01 to \$25,000	Department Head	Department Head (VP, Director, COO or Finance Controller) of the cost center.
Tier 3	\$25,000.01 to \$100,000	Chief Financial Officer	CFO approval regardless of department.
Tier 4	Over \$100,000	CEO and CFO (dual approval)	Both approvals must be recorded before payment.

3. Department Approvers

Approvers are assigned by cost center. The current list is maintained by Finance and reflected in the organization hierarchy.

Department	Cost center	Department Head (Tier 2)	Department Manager (Tier 1)
Engineering	ENG-100	Priya Nair, VP Engineering	Kevin Zhou
Marketing	MKT-200	Elena Petrova, Director of Marketing	Jordan Blake
Sales	SAL-300	Marcus Lee, VP Sales	Aisha Khan
Operations	OPS-400	Sofia Alvarez, Chief Operating Officer	Liam Foster
Finance	FIN-500	Hannah Weiss, Finance Controller	Grace Tan

Tier 3 approvals are provided by Daniel Okafor (CFO). Tier 4 approvals require Amelia Grant (CEO) and Daniel Okafor (CFO).

4. Control Requirements

- **Segregation of duties.** No one may approve an expense that they requested, incurred or benefit from. If the designated approver is the requester, the next level in the reporting line approves.
- **No splitting.** An invoice or purchase must not be split into smaller amounts to stay below an approval threshold. Finance reviews recurring and related invoices from the same vendor within a 30-day window.
- **Purchase orders.** A purchase order (PO) is required for any commitment above \$5,000. The PO number must appear on the vendor invoice.
- **Invoice matching.** Accounts Payable matches each invoice to its PO and delivery or service evidence before routing for approval.
- **Timeliness.** Invoices must be submitted to Accounts Payable within 5 business days of receipt and approved within 5 business days of submission. Standard payment terms are Net 30.
- **Recording approvals.** The approver name, title, tier and approval date must be recorded in the vendor ledger for every invoice.
- **Budget overruns.** Where quarter-to-date spend in a P&L line item exceeds its approved budget by more than 10%, the department head must explain the variance in the monthly variance review with the CFO. This reporting requirement does not change the approval tier of an individual invoice.

5. Category-specific Rules

Travel and entertainment

- Economy class for flights under 6 hours; premium economy allowed for longer flights.
- Hotel stays are capped at \$250 per night unless the department head approves an exception in advance.
- Client entertainment must state the guest names, company and business purpose.

Software and licences

- New software vendors require a security review by Operations (COO) before the first PO is issued.
- Renewals with a price increase above 10% must be re-approved at the tier that applies to the new amount.

Marketing and events

- Event and agency engagements must be supported by a signed statement of work.
- Deposit and balance invoices for the same event are treated as separate invoices but reported together in the variance review.

Legal and professional services

- Engagement letters are required for outside counsel and advisors; the Finance Controller maintains the register.
- Fees for patent, trademark and licensing work are charged to the Operations cost center.

6. Vendor Onboarding

New vendors must be registered by Finance with a W-9 or equivalent tax form, bank verification, and a conflict-of-interest declaration from the requesting department. Vendors may not be paid until onboarding is complete.

7. Exceptions and Escalation

Exceptions require written approval from the CFO and, for amounts above \$100,000, the CEO. Suspected policy breaches are reported to the Finance Controller (Hannah Weiss) or directly to the CFO. Repeated or deliberate breaches may result in disciplinary action.

8. Document Control

Version	Date	Change	Approved by
3.0	January 1, 2024	Introduced four-tier approval matrix	Amelia Grant
3.1	July 1, 2024	Added no-splitting rule and PO requirement above \$5,000	Amelia Grant
3.2	January 1, 2025	Added budget-overrun reporting and category-specific rules	Amelia Grant